

Data Analysis Of

London Gift Shop

Executive Presentation — Proof of Concept

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Jarvis Consulting · May 2026

Why This Analysis Was Needed

The Problem

Despite a decade of market presence, revenue growth has stalled — and the root cause isn't yet clear.

Without the right analytics infrastructure, decisions about product, pricing, and customers are being made without data to back them up.

Analytics Objectives

- Identify top-selling products and revenue drivers
- Understand who the highest-value customers are
- Segment customers by purchasing behaviour
- Detect seasonal revenue patterns
- Identify product return issues

Data Set Summary

STATS

1,067,371 rows
5942 Customers
5698 Products
25 Months

Records Removed

243,007 Null ID
19,494 Cancels
22,950 Neg Qtys

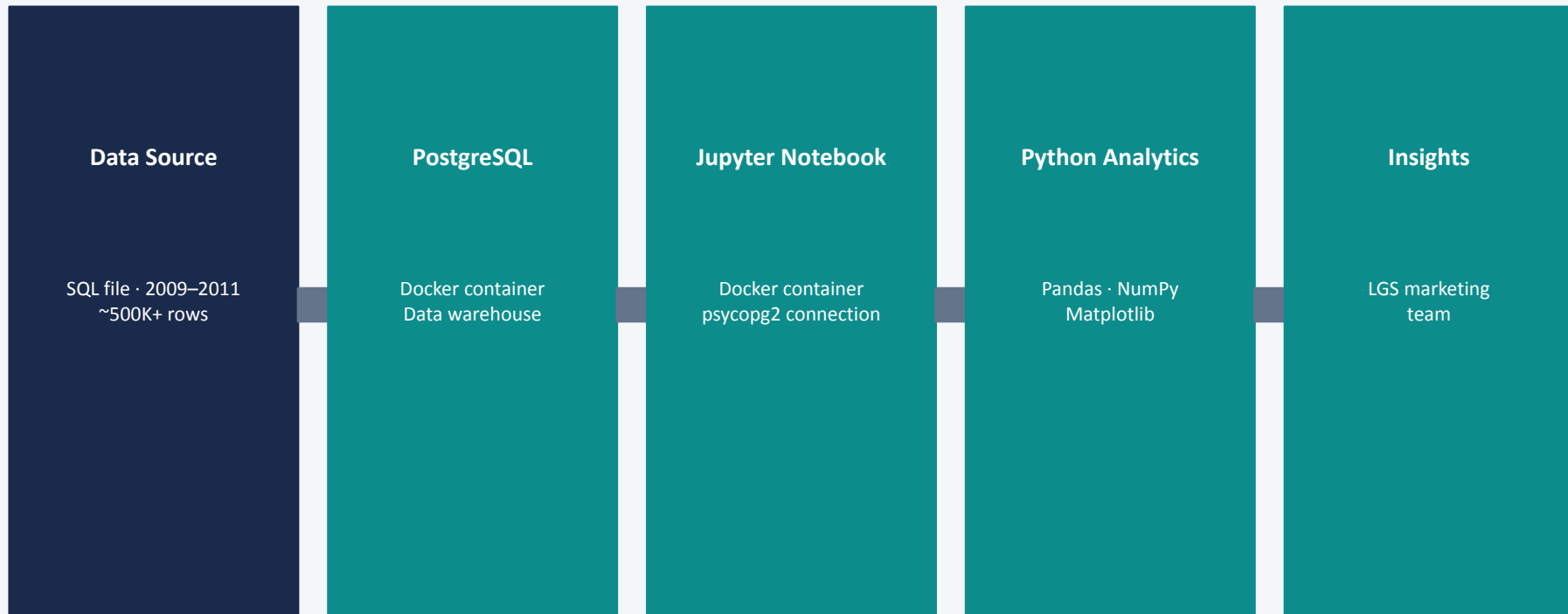
Transformations

Derived revenue
Isolated Cancels
Casted Data
Removed Nulls

Potential Columns

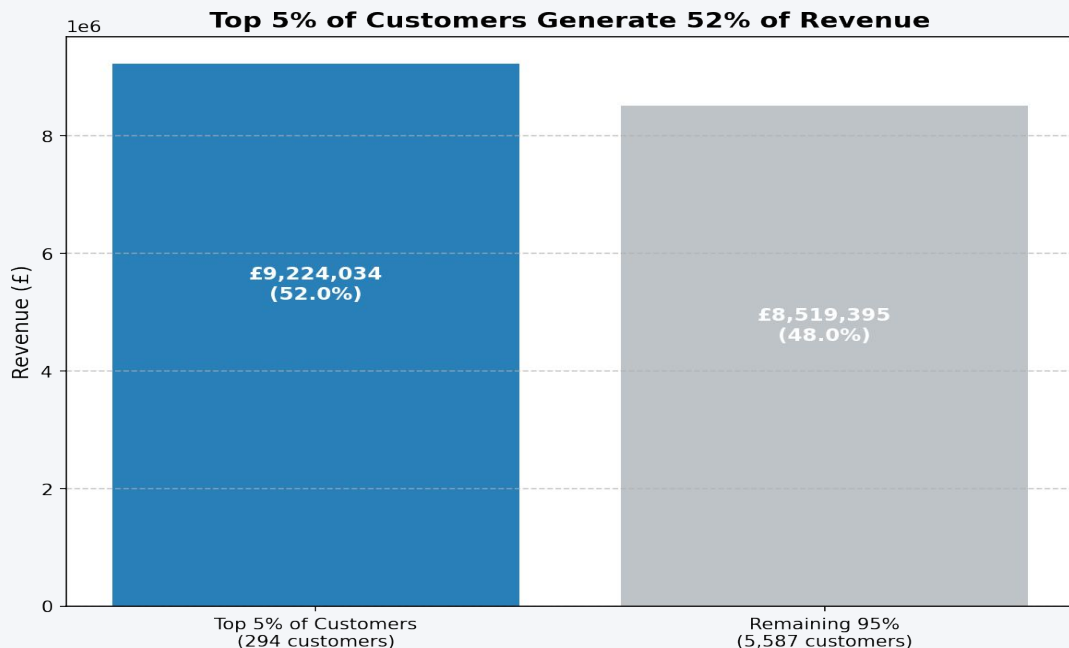
Profit Margin
Customer Demo
Customer Type
Discounts Applied

Data Pipeline & Engineering Overview



A Small Customer Segment Drives Most Revenue

 Finding: 52% of LGS's total revenue is generated by just 294 customers



How we found it

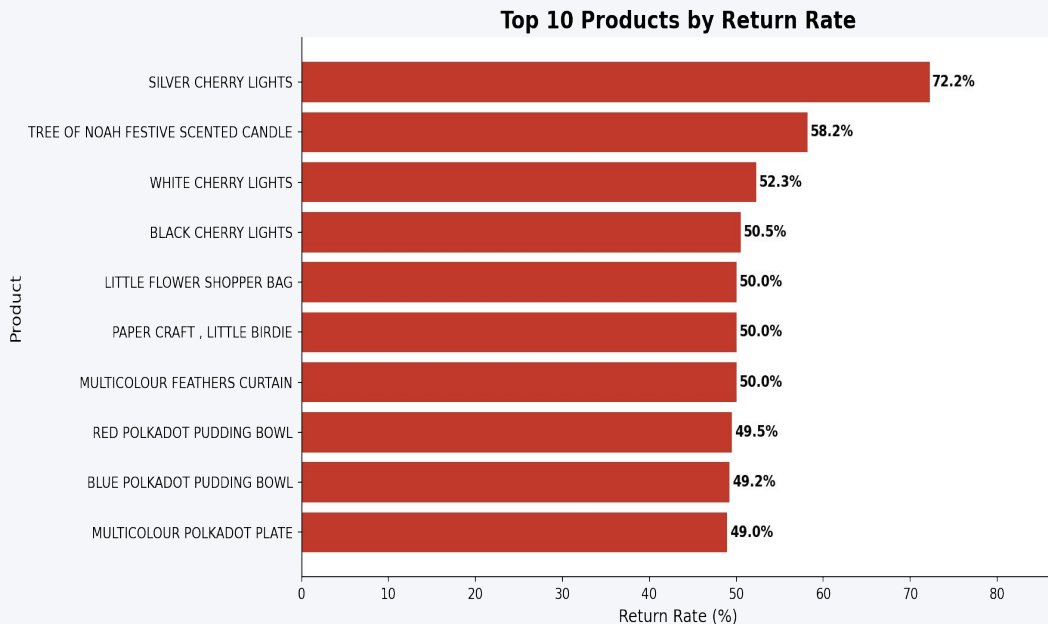
Grouped by customer_id, looking at revenue, sorting descendingly looking at the first 5% using splitting

Business Impact

- Losing even a handful of top customers has an outsized impact on revenue
- Build a VIP retention programme targeting the top 5%
- Identify shared traits among top customers to find lookalike prospects
- Monitor idle signals in this segment — a drop in order frequency is an early warning sign

High Return Rate of Products

📌 Finding: Half of the top 10 products by return rate have near 50% of units sent back — Silver Cherry Lights leads at 72%



How we found it

→ Return rate = units sent back ÷ total units ever ordered, for real products with enough sales volume to be meaningful.

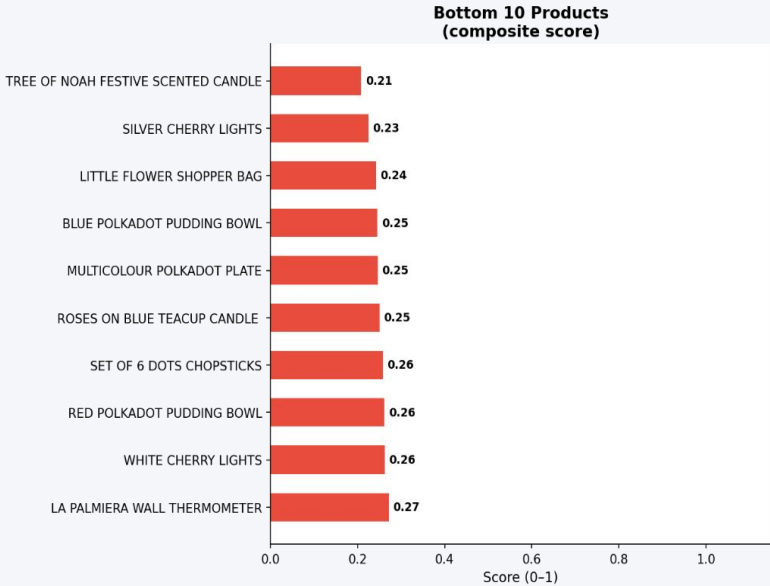
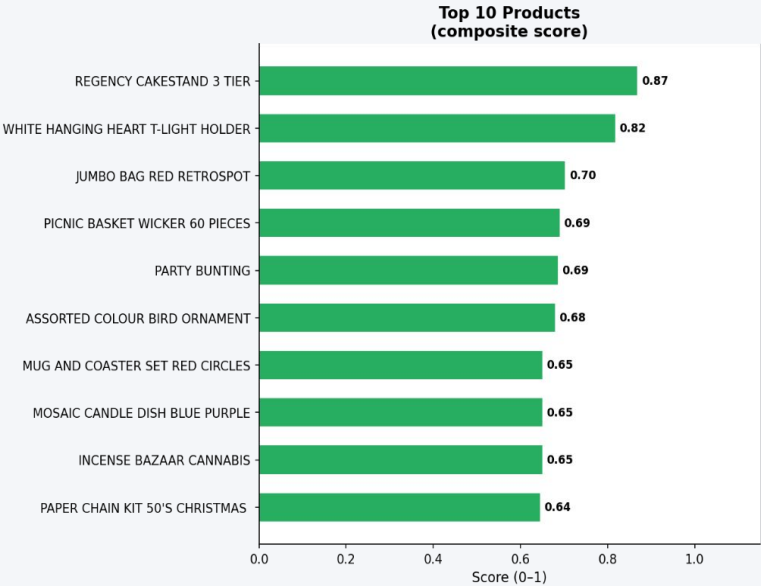
Business Impact

- Consider Removing high return products
- Investigate quality of products
- Negotiate price with manufacturers to reduce liabilities
- Flag chronic returners for product description review — mismatched expectations drive avoidable returns
- offer Store credit

Product Quality Analysis

 Finding: Revenue alone overstates product value — the bottom 10 products score poorly despite some generating significant sales

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 Finding: Revenue alone overstates product value — the bottom 10 products score poorly despite some generating significant sales

How we found it

Each product was scored on three signals — revenue, return rate, and repeat purchases — weighted and combined into a single composite score. Products under 50 units sold were excluded.

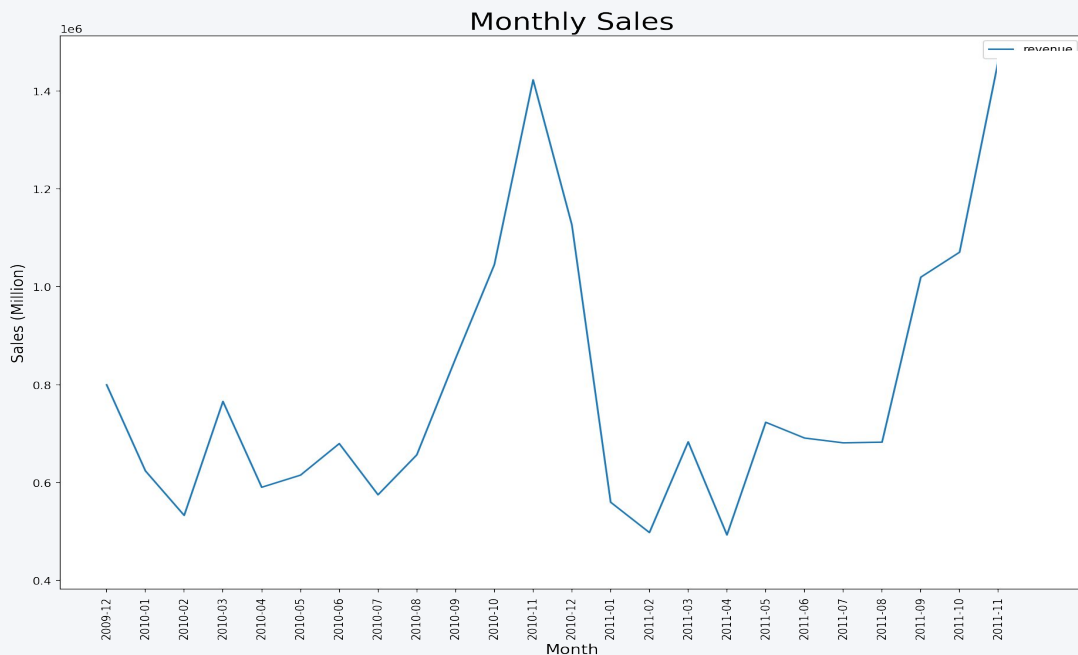
Business Impact

- Score drops over time can serve as an early warning signal before a product becomes a revenue problem.
- A high revenue product with a low composite score is quietly losing value through returns.
- Top-scored products are the safest candidates for inventory expansion

Revenue Has Clear Seasonal Peaks



Finding: Revenue spikes predictably in specific months — marketing and inventory decisions are currently not aligned with these peaks.



How we found it

Parsed Invoice_date into month/year, aggregated revenue per period, plotted trend line. Cross-referenced peaks against calendar events.

Business Impact

- Align promotional spend with peak-demand months
- Pre-position inventory ahead of seasonal spikes
- Launch targeted campaigns in lead-up to peak periods
- Use off-peak months for retention and re-engagement

RFM Analysis Categories

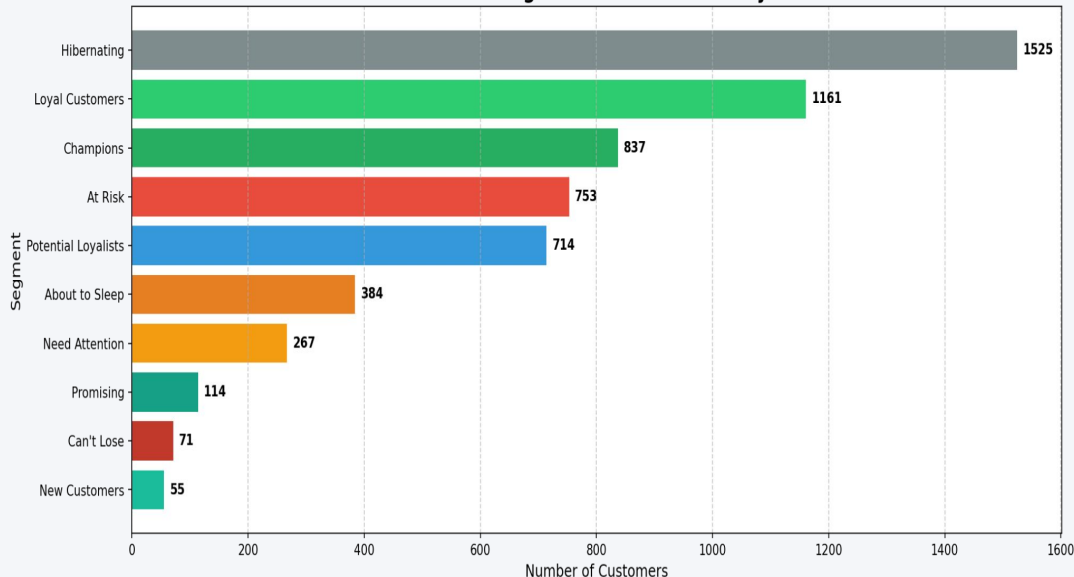
Rank	Segment	Who are they?
1	Champions	Bought recently, buy often, spend the most
2	Loyal Customers	Buy regularly, reliable spenders, long relationship
3	Potential Loyalists	Recent buyers, purchasing more frequently
4	Promising	Early-stage buyers showing good signals
5	Need Attention	Used to buy regularly but starting to slow down
6	About to Sleep	Purchase frequency dropping. Engagement fading
7	At Risk	Were good customers. Haven't bought in a while
8	Can't Lose	High-value, high-frequency — now completely silent
9	Hibernating	Long lapsed. Low recency, low frequency, low spend

Customer Base: Loyal Core, High Churn Risk



Finding: Hibernating customers dominate at 1,535, yet Loyal Customers (1,162) and Champions (843) form a strong high-value core

Customer Segmentation — RFM Analysis



How we found it

Customers were scored on Recency, Frequency, and Monetary value, then mapped into 10 segments.

Business Impact

- Retain Champions and Loyal Customers through rewards and early access
- Reactivate Hibernating customers (1,535) via win-back campaigns — highest volume, highest upside
- Monitor At Risk (754) before they move to Hibernating

Takeaways & Next Steps

01

A focused product and customer strategy — targeting the top SKUs and top customers — could meaningfully move revenue without increasing ad spend.

02

Seasonal patterns are predictable. Aligning campaigns and inventory to these peaks is a low-cost, high-return operational improvement.

03

The data pipeline is PoC-grade but structurally sound. With ETL automation and a cloud warehouse, this becomes a production analytics capability.

Proposed Roadmap

0–3 months

Automate ETL · Build dashboards
Clean product taxonomy

3–12 months

Customer segmentation models
Demand forecasting · CRM integration

12+ months

Real-time pipeline · Integrate dynamic pricing